



Driving progress
through partnership

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Office of the Secretary
600 Pennsylvania Avenue NW
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Washington, DC 20580

Subject: Comments to Federal Trade Commission Guides Concerning the Use of Endorsements and Testimonials in Advertising, P204500

The Association of National Advertisers (“ANA”) respectfully submits these Comments in response to the request by the Federal Trade Commission (“FTC” or “Commission”) for public comments on the regulatory review of its Guides Concerning the Use of Endorsements and Testimonials in Advertising (the “Guides”).¹

ANA’s mission is to drive growth for marketing professionals, for brands and businesses, and for the industry. Growth is foundational for all participants in the advertising and marketing ecosystem. ANA’s membership consists of more than 1,600 domestic and international companies, including over 1,000 client-side marketers and nonprofit fundraisers, and 600 marketing solutions providers (data science and technology companies, ad agencies, publishers, media companies, suppliers, and vendors). Collectively, ANA member companies represent 20,000 brands, engage 50,000 industry professionals, and invest more than \$400 billion in marketing and advertising annually.

ANA appreciates this opportunity to provide detailed suggestions to the FTC on the proposed revisions to the Guides. The effectiveness of the Guides will be enhanced by added clarity and practicality. ANA hopes that the following comments will be helpful in promoting the goals of maintaining a level playing field for the hundreds of ANA members who daily seek to advertise their products and services truthfully, non-deceptively, and effectively.

I. INTRODUCTION: ARTICULATION AND ILLUSTRATION OF PRINCIPLES NOT POLICY

The Guides should focus on basic principles surrounding testimonials and endorsements. The FTC has articulated its enforcement priorities regarding endorsements, disclosure of material connections, and customer reviews in numerous ways. Enforcement actions, speeches, policy statements, and letters to

¹ See Request for Public Comment, 87 Fed. Reg. 44288 (Fed. Trade Comm’n July 26, 2022) (“Comment Request”).

industry members all provide a clear view of how the FTC views this area of consumer protection. Indeed, the FTC has made it clear through its enforcement actions and in public statements that it will aggressively enforce Section 5 of the FTC Act in this area.

The Guides, however, should not be used in the same way to communicate to industry members the policy interests of the Commission. Rather, the Guides should be helpful guidance as to how the FTC staff interprets Section 5 in this area of advertising. Although the FTC may believe that this is all it is doing with these revised Guides, ANA believes that there are new policies articulated in these Guides (especially with regard to customer reviews) that are not applications of existing law but rather policy choices not supported by empirical evidence about how consumers understand customer reviews. Therefore, ANA encourages the FTC to focus on updating and clarifying the Guides without introducing entirely new theories of liability that belong properly in enforcement actions. While the FTC certainly may publish Enforcement Policies and can announce to the industry how it will interpret its enforcement purview under the FTC Act, the Guides are not the place for that.

One practical reason that the FTC should show restraint in its desire to announce enforcement policy in these Guides is that it tends to make some examples in the Guides overly complicated and confusing. As these comments demonstrate, in several instances, the FTC has attempted to update and clarify an example in order to communicate how marketers can proceed lawfully; however, the FTC then adds one or more caveats that suggest that even if a marketer were to follow the guidance, the FTC might still find the practice in violation of Section 5. In this way, the additional language swallows the guidance and leaves marketers without anything but a sense that this is an area of enforcement interest.

II. SECTION 255.0 – PURPOSE AND DEFINITIONS.

Section 255.0 contains several changes that seek to provide additional, updated guidelines. There are several words, phrases, and sentences that create ambiguity and tend to cloud the guidance. In particular, the inclusion of a special “clear and conspicuous” definition creates confusion and reduces regulatory flexibility.

A. Section 255.0(b) – Endorsements and Endorsers

The FTC should improve Section 255.0(b) by (1) clarifying the way tags may contain an endorsement; (2) removing the dichotomy of “negative” and “positive” endorsements, which implies that an examination of the attitude of the endorser is a prerequisite to an analysis of whether an endorsement exists; and (3) rephrasing the reference to new forms of virtual influencers to avoid an overly broad and ambiguous reference to speakers who “could be or appear to” be endorsers.

1. Tags

Tags should not automatically be considered endorsements. With regard to the proposed changes to the definition of “endorsement” to include tags in social media posts, ANA encourages the FTC not to lose the concept of what constitutes endorsements when trying to broaden the ways in which endorsements may appear. The FTC should retain the idea that there needs to be an advertiser sponsoring the message in order for there to be an endorsement. The Guides should help determine what makes an advertising

statement an “endorsement,” and should not imply that certain features of social media advertising (*e.g.*, tags) are *per se* endorsements. As currently written, the FTC suggests that tags are endorsements; rather, the FTC should simply update the Guides to reflect the fact that endorsements can appear in social media tags.

2. “Positive” and “Negative” Endorsements

The references to “positive” and “negative” endorsements in Footnote 2 are confusing. Footnote 2 communicates that a paid or otherwise incentivized *negative* statement about a competitor’s product is not an endorsement. This is a distinction based on an interpretation of a statement as to whether it is “negative” or “positive.” There is no definition of a “negative” statement or how the “negativity” of an advertising statement might impact the Guides. This footnote seems to be an attempt to remind the public that statements not subject to the Guides could still be subject to Section 5. Placed in this context, this hedging statement is confusing and superfluous.

3. Virtual Influencers

The use of “could be or appear to” in the definition of “endorser” is ambiguous. The expanded definition of “endorser” covers anyone who “could be or appear to be” an individual, group, or institution. To the extent the FTC is referring to virtual influencers, CGI influencers, etc., the FTC should draft explicit language to cover that updated concept more specifically. The proposed modification merely expands the definition in a subjective way that diminishes its precision and clarity.

B. Section 255.0(f) – Clear and Conspicuous

The FTC has inserted language that it generally places in its orders concerning the definition of “clear and conspicuous” disclosure. Lesley Fair eloquently articulated the traditional FTC approach:

“Clear and conspicuous” is a performance standard, not a font size. A disclosure is clear and conspicuous if consumers notice it, read it, and understand it. Do you really want the FTC staff dictating the specifics of your ad campaign? We didn’t think so. Aside from a few rules that mandate detailed disclosure standards, the “clear and conspicuous” ball is in the advertiser’s court. As long as consumers looking at the ad come away with an accurate understanding, companies have substantial leeway in how they communicate their marketing message. That’s why we think it would be a mistake to impose a one-size-fits-all approach.²

The Guides are not rules.³ Thus, there should not be any specific requirements for where, when, and how disclosure should be made. ANA addresses this issue further in connection with Section 255.5, below.

² Lesley Fair, “Full Disclosure,” FTC Business Blog, Sept. 23, 2014, <https://www.ftc.gov/business-guidance/blog/2014/09/full-disclosure> (last accessed Sept. 23, 2022).

³ Cf. The Telemarketing Sales Rule, 16 C.F.R. Part 310, where the FTC is explicit about how disclosures must be made.

Reminding the industry as to specific FTC mandates when it fences in a defendant in an enforcement action does not advance the goals of the Guides. Rather than perceive “clear and conspicuous” as a performance standard, the public is likely to interpret the specific “clear and conspicuous” provisions as quasi-rules (*e.g.*, influencers on YouTube must always disclose orally if a material connection exists between the influencer and the sponsoring advertiser). That is not how the FTC has traditionally applied the “clear and conspicuous” performance standard.

The Guides would be clearer and more flexible if the FTC did not include the definition of “clear and conspicuous” in the Guides but continued to use that phrase as the standard. Doing so would not inhibit the FTC from describing examples not likely to meet that standard, particularly if the FTC explains why a practice falls short of that standard. Thus, by keeping the “clear and conspicuous” standard a standalone concept that applies in all scenarios -- not specifically in the endorsement and testimonial context -- the FTC can achieve a greater regulatory outcome. It gives the Commission latitude to evaluate disclosure on a case-by-case basis and puts the onus on the marketer to devise the right type of disclosure for the particular execution. Then, the Commission can provide examples in its Guides that reflect the staff’s analysis of how it would apply the “clear and conspicuous” standard in certain circumstances.

C. Section 255.0 Example 4 (Automobile Racing Driver)

This proposed updated example creates confusion by making it appear that, regardless of the circumstances, a celebrity’s statement concerning a product automatically makes the statement an endorsement. The FTC describes a driver who speaks of the smooth ride, strength, and long life of depicted tires. The FTC then declares that many consumers are likely to believe this message reflects the driver’s personal views even if the driver does not say so. Previously, the FTC used the word “may” in this example to communicate that the statement *may* constitute an endorsement. It is not apparent what new empirical evidence has persuaded the Commission that such a statement will always be an endorsement.

Indeed, in the example, there is no indication that the driver actually tried the tires or uses them on his own car.⁴ There is no explanation why this professional race car driver’s statement would clearly communicate that the driver has personal knowledge/experience with the advertised product. If a celebrity within a certain industry (*e.g.*, a celebrity chef) is used in advertising, how much research must the celebrity perform if the celebrity is deemed to be an “endorser” in all cases, and how much would that change current practice? More empirical evidence is necessary to better address this issue. In the given example, simply discussing features of the tires does not necessarily mean that consumers believe the driver has personal knowledge/experience about those attributes.

D. Section 255.0 Example 5 (Golfer)

The FTC proposes to update its example about a golfer being featured in a television advertisement for golf balls. The FTC should consider emphasizing that the reason this is an “endorsement” because the golfer was hired to actually make the post featuring the golf ball. Although the FTC’s added example

⁴ Cf. Example 5 (Golfer), which shows the endorser using the particular item and clearly representing that the endorser tested it.

states that the golfer is “hired” to post the video, it does not indicate clearly enough that this fact is part of the reason that this particular example is an endorsement. Every post by the golfer which includes the golf ball should not be considered an endorsement just because the brand is recognizable.

E. Section 255.0 Example 6 (Home fitness infomercial)

It is unclear why this expanded example differs from the race car driver in Example 4. The FTC’s expanded Example 6 features a well-known actor demonstrating a home fitness machine and speaking about the actor’s own personal experience with the machine. The expanded hypothetical indicates that, if the actor does not make any statements about the actor’s experience with the fitness machine, but merely talks about its features, then it is not an endorsement by the actor. This is a welcome addition by the FTC to clarify what is and is not an endorsement. However, the difference between the race car driver in Example 4 (Automobile Racing Driver) and the actor in this Example 6 is unclear.

F. Section 255.0 Example 7 (Formerly Example 8 – free dog food recipient)

As ANA noted previously in its 2020 comments, this example should make clear that, to meet the definition of an “endorsement,” there must be a sponsoring advertiser. The FTC states that, if the consumer receives a free bag of dog food through a marketing program and then writes a positive review, the consumer’s review would be considered an endorsement because of the connection to the manufacturer through the marketing program. The example should be reframed to explain that the positive review written by the consumer is an endorsement because of some requirement applicable to the marketing program that turns the review into the sponsoring advertiser’s speech.

Liability for failure to disclose the material connection of the marketing program should not rest with the dog food manufacturer if the manufacturer does not have a relationship with the consumer. The example does not sufficiently differentiate the relationship between the advertiser and the consumer through a discount coupon on the one hand and the relationship between the advertiser and the consumer that produces the positive review on the other.

G. Section 255.0 Example 8 (Video Game Player)

ANA takes issue with the FTC’s assertion that live-streamed enjoyment of a video game by a player could be an “endorsement” and why the subjective impression of “enjoyment” is important to that determination. The FTC indicates that, even though the player does not expressly recommend the game, the game play is considered an endorsement. The FTC should clarify whether this fact pattern would still present an endorsement if the gamer were not being paid.

H. Section 255.0 Example 9 (Vitamin Product/Methods of Disclosure)

If the FTC seeks to illustrate how the “clear and conspicuous” standard can be applied in the endorsement context, the FTC should add an example where use of a built-in social media tool disclosure is sufficient. The newly proposed Example 9 outlines three scenarios where an influencer for vitamin products does not clearly and conspicuously disclose the influencer’s connection to a product’s manufacturer. The FTC should explain more clearly why the disclosure is likely to not be noticed, read, and/or understood, and it

should add an example of where a social media tool disclosure is sufficient. Rather than supplying guidance, the FTC here simply seems to be reminding the industry that it has brought enforcement actions against influencer marketing where the disclosures were present but inconspicuous.

I. Section 255.0 Example 10 (Senior Citizen Dementia)

The FTC indicates that whether the disclosure is clear and conspicuous will depend on the perspective of older consumers, including those with diminished auditory, visual or cognitive processing abilities. Although it is a basic principle that the meaning of an advertising must be construed from the perspective of a reasonable member of the target audience of the advertisement, ANA takes issue with the FTC's assumptions about elderly individuals generally without any empirical evidence. The FTC's example is premised on unfair, insulting, and prejudicial assumptions about elderly individuals and their ability to understand advertisements.

Moreover, this example is completely unrelated to the specific concerns of endorsements. Based on this example, there is no clear way for advertisers to address or comply with these requirements. There is nothing that states that this product, which has wide application for a variety of people, is targeted at a vulnerable population. The FTC appears to be making unfounded and demeaning assumptions rather than providing useful guidance. As with any advertising, Section 5 will require that this particular advertising be analyzed from the point of view of a reasonable member of the target audience. The example should be removed.

J. Section 255.0 Example 11 (Spanish speaking cholesterol ad)

This example is an offensive and egregious example of inaccurate assumptions and perpetuating harmful and misleading stereotypes. In this new example, a Spanish language advertisement for a cholesterol lowering drug is targeted to Spanish-speaking consumers who do not understand English. As with Example 10, it is axiomatic that advertising must be analyzed from the point of view of a reasonable member of the target audience. The example is similarly offensive because it plays on a stereotype that Spanish-speaking consumers might be likely to have high cholesterol and it does not advance guidance concerning the nature or identification of "endorsements."

III. SECTION 255.1 – GENERAL CONSIDERATIONS

The FTC has sought to update and clarify the guidance and examples in Section 255.1. As noted below, there are several instances where the Commission could be clearer and more precise.

A. Section 255.1 – Endorsement Messages

The FTC has added language that an advertisement need not present an endorser's message in the exact words of the endorser, unless the advertisement presents the endorsement as a quotation. ANA agrees that the original language was somewhat awkward ("The endorsement message need not be phrased in the exact words of the endorser unless the advertisement affirmatively so represents"); however, the FTC's new language is too narrow. The FTC seems to be trying to state that, if an advertisement represents that it is presenting the endorser's actual words, the endorser cannot paraphrase – i.e., those must be the

endorser's actual words. The concept of a "quotation" is confusing. The principle being described is not premised on a person shown speaking through a "quotation;" it is premised on the representation that the words used are being represented to be the exact words.

B. Section 255.1(d) – Liability and Obligations of Advertisers

The FTC added language that advertisers are liable for misleading or unsubstantiated statements when there is a connection between the advertiser and the endorser. This addition is unnecessary because by definition there has to be a sponsoring advertiser involved in order for there to be an endorsement. If that is not the case, then this guidance is inconsistent with the definition of "endorsement" in Section 255.0.

C. Section 255.1 Example 2 (DJ Making Coffee)

The FTC should revise and clarify this example to indicate that someone does not have to own a product for an endorsement to be truthful. The FTC indicates that the statement about loving the coffee maker likely communicates that the DJ owns and regularly uses the coffee maker and therefore the message would be deceptive if the DJ does not really own it or used it only during a demonstration by the manufacturer. The FTC should consider clarifying that the DJ may not have to own the coffee maker in order for the endorsement to be truthful. For instance, the DJ's statement could still be truthful if the DJ uses it every weekday at the studio and the endorsement makes the context of the DJ's use clear and understandable.

D. Section 255.1 Example 3 (Dermatologist and acne medicine)

This example raises two primary concerns. First, identifying how liability between the endorser and the sponsoring advertising may be shared is not at all clear. Second, the FTC's guidance may not be practical in all circumstances.

1. Complexity of the Example Diminishes Utility

The FTC should clarify the purpose of this example. The FTC adds language stating that, if there were no apparent design or execution flaws in the study shown to the expert, the endorser would not be responsible for a false statement, even if the advertiser had withheld another more thorough study that revealed issues with the claim. The FTC is too specific and the example is not helpful. The point of the example should be that the endorser can be individually liable for a misrepresentation made in the context of an endorsement. Liability arises from any situation that an endorser knew or should have known is false. The FTC should make clear that the crux of the issue concerns whether the expert endorser knew or should have known that the expert's endorsing statement is false. The complex factual basis for distributing liability between the expert and the sponsored advertiser is unnecessary to illustrate the basic liability principal.

2. Practical Applications

This example goes beyond the general requirements of an expert. It gets into the question of whether an expert should always ask for scientific studies in this situation. The implication that an expert might

have liability if the expert were not to ask sufficient questions about a study does not reflect reality. For example, a pharmaceutical company may have difficulty complying with this guidance if it is not able to share full scientific reports due to their proprietary nature. The practical implications of this situation could put the advertiser in a bind and force it not to use expert endorsers for advertisements. From the endorser's perspective, a concerned expert may refuse to act as an endorser if the advertiser is unwilling or unable to share every piece of information requested by the expert in order to meet the new "should have known" standard. Advertisers and their endorsers will need a better understanding of what the FTC means by "should have known" or what an endorsing expert should do to protect itself against liability when provided with evidence of a product's or service's efficacy. Without additional clarity, this new standard will lead to confusion in the marketplace for advertisers and expert endorsers.

E. Section 255.1 (Skin Care Products Advertiser/Eczema Lotion)

As with Example 4 above, the FTC tries to do too much in one example. The FTC appears to be trying to communicate that advertisers should provide guidance, monitor, and take action when it comes to their endorsing influencers. All other details should be removed so that the FTC can adequately communicate this course as a "best practice" for compliance purposes.

IV. SECTION 255.2 – CONSUMER ENDORSEMENTS AND REVIEWS

This section embodies some of the most far-reaching and policy-oriented changes to the Guides. Accordingly, ANA submits several comments objecting to the FTC's use of the Guides in lieu of proper rulemaking when seeking to regulate the entire industry's use of customer reviews. There is no basis for believing that every customer review is an endorsement or should be viewed through the same lens as endorsements. Accordingly, the FTC creates confusion, ambiguity, and inefficiency with its new Section 255.2(d).

Demonstrating how far afield it is getting, the FTC wades into the realm of the Communications Decency Act in the context of the Guides in order to address customer reviews.⁵ The FTC also appears improperly to seek an expansion of the Consumer Review Fairness Act through this Guides-revision exercise.⁶ The FTC also demonstrates scant interest as it seeks to prohibit advertisers from exercising their commercial speech rights when encouraging happy customers to write a review.⁷ In addition, the FTC adds additional language to the Guides that fails to clarify the underlying principles at play and instead infuses ambiguity.

A. Section 255.2(d) – Consumer Reviews

The FTC adds language that states, "In procuring, suppressing, boosting, organizing, or editing consumer reviews of their products, advertisers should not take actions that have the effect of distorting or otherwise misrepresenting what consumers think of their products, *regardless of whether the reviews are considered*

⁵ See Section 255.2 Example 8 (Camping goods retailer).

⁶ See Section 255.2 Example 10 (Threatening reviewers).

⁷ See Section 255.2 Example 11 (Encouraging reviews).

endorsements under the Guides.” Thus, the FTC makes clear it is providing guidance in areas other than endorsements.

To be relevant and coherent, the Guides should be focused on how Section 5 relates to the communication of *endorsements in the context of customer reviews*. That the FTC has not done sufficient research into consumer reviews is evidenced by the lack of guidance in the proposed new subsection itself and its reliance on various examples.

To be clear, ANA is not saying that consumer reviews are never endorsements. If a consumer review is an “endorsement,” the FTC should provide a framework for applying the Guides in that context. Similarly, the FTC should explain why star ratings are “endorsements” within the meaning of the term and how they can fit within the new enforcement policy articulated in the Guides. Consumer reviews can be material to a consumer’s purchasing decision and they can be manipulated to cause mistakes and to affect competition unfairly. But, the issues surrounding reviews are distinct from the core issues affecting consumers in the context of endorsements and testimonials, even if they may appear closely related.

Even apart from its troublesome and incoherent use of the Guides to further its enforcement priorities rather than provide clarity, the “boosting and organizing” referenced here is unclear. At the very least, the FTC should clarify what sorts of activities it is contemplating without relying on various examples to vaguely provide context.

B. Section 255.2 Example 4 (WeightAway)

In this example, the FTC proposes adding multiple additional hypothetical iterations to the existing WeightAway example. The point of the example is to demonstrate how to assess atypical results and how to disclose typicality of results in connection with advertising. It would be helpful for the FTC to state that the top of the range should be an appreciable number of people achieving a certain result, consistent with the typicality requirement in Section 255.2. The top of the range should be an appreciable incidence level of efficacy.

Additionally, the final proposed hypothetical assumes that WeightAway, a diet and exercise program, features a person who states that the person lost 50 pounds in 6 months with a disclosure that “The typical weight loss of a WeightAway user who sticks with the program for 6 months is 35 pounds.” It does not make sense that because 1/5 of users do not stick to a program for 6 months, the advertiser must disclose that fact. The disclosure is clearly qualified and communicates that the results depicted reflect a situation where a consumer sticks with the program for 6 months. The advertiser is simply demonstrating the results for users who *did* stick with the program for 6 months. The FTC provides no basis for suggesting this disclosure is insufficient. Accordingly, ANA believes that this part of the hypothetical should be reconsidered and modified or omitted.

C. Section 255.2 Example 8 (Camping goods retailer)

The FTC proposes adding several new hypotheticals focusing on consumer reviews on a retailer website. The FTC appears unnecessarily to wade into an analysis of how moderation of user-generated reviews may negate immunity otherwise granted pursuant to the Communications Decency Act, § 230. ANA

recommends that the FTC not involve itself in this discussion because Congress is looking at this issue and there is a body of case law that already construes a platform's liability for user-generated content, even in the context of customer reviews.

Provision of guidance in this context has the potential to lead to inconsistencies with current and ongoing legal principles.

D. Section 255.2 Example 10 (Threatening reviewers)

This new example notes that marketers should not threaten or punish consumers for posting negative reviews. The example makes express reference to the Consumer Review Fairness Act, which makes it illegal for companies to include standard contract provisions that threaten or punish people for posting honest reviews. That law is limited to the use of contracts of adhesion to punish customers who post negative reviews. To the extent the FTC is trying to expand the Consumer Review Fairness Act, it should ask Congress to do so. It should not try to expand it through this Guide-refreshing process. Furthermore, to date, the FTC has not placed into the record any evidence that advertisers are frequently threatening reviewers.

E. Section 255.2 Example 11 (Encouraging reviews)

This new example raises a number of concerns. In new Example 11, an advertiser asks purchasers who have indicated that they have had a positive experience with a product to post online reviews about the product. In contrast, the advertiser thanks a consumer who expresses less than glowing feedback but does not encourage them to write a review. The FTC indicates that this disparate treatment may be unfair if it results in the posted reviews being substantially more positive than if the marketer had not engaged in the practice. ANA takes a number of issues with this example.

As noted before, ANA believes that the FTC is unlawfully prohibiting advertisers from exercising their commercial speech rights by encouraging a happy customer to write a review. The FTC takes the unprecedented position that it is deceptive to invite only satisfied customers to post reviews. There is nothing wrong with encouraging people to post reviews. It is an exercise of commercial speech, which can only be constrained pursuant to a *Central Hudson* analysis, requiring the least restrictive means of achieving a legitimate governmental interest.⁸ This position could have a significant impact on smaller businesses, which rely on reviews from satisfied customers. As long as all consumers have an opportunity to provide a review and it is not hidden as to how and where to provide a review, there should not be any deception or unfairness in asking only satisfied customers to post a review.

It is unlikely that consumers are substantially harmed by the invitation to write a review if they express some degree of favor toward the advertiser. The FTC has articulated no basis to conclude that consumers are experiencing substantial harm. Moreover, in this context there is nothing that stops any consumer from actually writing a negative review even after receiving the invitation from the advertiser. The guidance here unreasonably burdens truthful commercial speech.

⁸ See *Central Hudson Gas & Elec. Corp. v. Public Serv. Comm'n of N.Y.*, 447 U.S. 557, 561 (1980).

V. SECTION 255.3 – EXPERT ENDORSEMENTS.

ANA suggests that the FTC review two specific aspects of the proposed revisions to this section. In both cases, slight changes to certain words could help promote clarity and precision.

A. Section 255.3 Example 2 (Hearing aids)

The FTC indicates in this example that the non-medical and non-specialized doctors referenced in the example do not necessarily have enough expertise to endorse the product, even with a clear and conspicuous disclosure. The FTC should clarify the example to explain more clearly when an expert would not be permitted to endorse a product and when a disclosure of the limitations of an expert's qualification would not be adequate.

The FTC made a slight change to the sentence that now reads, “A non-medical “doctor”...without substantial experience in the area of hearing might be able to endorse the product...” ANA recommends that the FTC revert to the previous language, stating that the “doctor” can endorse the product. Those two phrases do not have the same meaning, and “might be able to” simply leads to ambiguity.

B. Section 255.3 Example 6 (Cholesterol)

The FTC updates this example of the expert who endorses a cholesterol-lowering drug to indicate that the materials reviewed by the expert to support the claims should be the type of scientific evidence that others with the “purported” degree of expertise, not the expert's actual degree of expertise, would review. Although this may be true with a doctor and in cases of scientific evidence, the FTC should clarify if this is a general statement about all expert endorsers or just doctors, and what that “purported” degree of expertise means in the context of expert endorsers. It may be possible simply to clarify that, if an expert expressly or implicitly communicates a level of expertise, the expert who is making an endorsement should possess the level of expertise communicated.

VI. SECTION 255.4 – ENDORSEMENTS BY ORGANIZATIONS

The FTC proposes two new examples in this section, but it is not clear they even belong in this section. These examples have to do with material connection disclosures more properly discussed under Section 255.5.¹²

¹² To the extent the FTC wishes to add a relevant update to the Guides, the FTC may wish to consider a recent National Advertising Division (“NAD”) case involving Safe Catch Tuna. The NAD recommended that the advertiser discontinue the endorsement claim by the American Pregnancy Association (“APA”) that Safe Catch is the “only tuna endorsed by the American Pregnancy Association,” because the advertiser had not presented any evidence that the APA exercised the level of scientific expertise or conducted the type of comparative health and safety testing an organizational endorsement would imply. See *BBB National Programs, National Advertising Division Finds Safe Catch Tuna Mercury Testing Claims Supported; Recommends Modification or Discontinuance of Certain Other Claims* (July 20, 2021), <https://www.prnewswire.com/news-releases/national-advertising-division-finds-safe-catch-tuna-mercury-testing-claims-supported-recommends-modification-or-discontinuance-of-certain-other-claims-301336056.html>.

A. Section 255.4 Example 2 (Trampoline reviews)

In this proposed example, a trampoline manufacturer sets up and operates a trampoline review website that appears to be independent. The site reviews the manufacturer's trampolines, as well as those of competing manufacturers. The FTC indicates that the website is deceptive because it "falsely appears to be independent." This example does not relate to the relevant issues concerning endorsements by organizations. It relates to disclosure issues that are more appropriate in Section 255.5.

If the FTC retains the example in this section, the FTC should clarify whether the trampoline manufacturer could still set up the website if it makes clear that it is run by the trampoline manufacturer. The example should be rephrased to say that "a trampoline manufacturer sets up and operates a website that appears to be an independent trampoline review website and does not clearly and conspicuously disclose the trampoline manufacturer's relationship to website."

B. Section 255.4 Example 3 (Headphone reviews)

It is not clear to ANA how this example is relevant to the Guides, particularly in the section relating to endorsements by organizations. In this new example, a third party operates a wireless headphone review website that provides rankings of different manufacturers' wireless headphones from most recommended to least recommended. The website operator accepts money from manufacturers in exchange for higher rankings of their products, and the FTC states that it is deceptive for the website to accept money for higher rankings, regardless of whether the website makes express claims of objectivity or independence.

To the extent it is meant to communicate that the buying and selling of indicia of influence is deceptive under Section 5, it is misplaced in the Guides because it does not specifically relate to endorsements. To the extent it is meant to communicate that failing to disclose a material connection regarding an endorsement is deceptive under Section 5, it should be placed in Section 255.5.

VII. SECTION 255.5 – DISCLOSURE OF MATERIAL CONNECTIONS

Section 255.5 of the Guides tends to be the section that is most valuable to advertisers because it provides guidance on when a disclosure of a material connection is required. This section is also where the industry has experienced the most frustration. Much of the law related to how endorsements become deceptive or misleading depends on an assessment of whether consumers are actually misled into believing that no connection exists between the endorser and the sponsoring advertiser.

This is not an easy analysis. Consumers may learn to expect sponsored endorsements in some contexts within short periods of time. Other contexts may present more opaque conditions. The degree of disclosure should be flexible and relate to the materiality of the connection. The greater the risk that consumers would not understand that a connection exists, combined with the degree that consumer injury due to such ambiguity would be substantial, should be weighed against the importance and prominence of disclosure of such material connections. ANA supports the FTC's efforts to produce and update the Guides periodically because this guidance provides important insight into how the advertising industry and consumer protection regulators can work together to evaluate how these various factors interact with each other.

Accordingly, the value of Section 255.5 is enhanced by clear explanations of fact patterns, an analysis of the connection described in the fact pattern to determine its materiality and potential for substantial injury if not recognized, and finally recommendations about how disclosure can be used to mitigate the risk of consumer injury. However, the FTC mitigates the utility of Section 255.5 with examples that are overly complicated and filled with hedging and contingencies. The examples are also less useful to the extent they do not provide insight into the underlying materiality analysis. As indicated below, ANA believes there are certain clarifications that would make them more useful in various contexts.

ANA is concerned that some of the examples seem to include “the kitchen sink.” By trying to tie together various other parts of the Guides, the FTC appears to be signaling that the question of material connections and their disclosure touches other issues, such as the nature of an endorsement in the first place and the “clear and conspicuous” standard. ANA agrees that all of the principles embodied in the Guides come into play in many instances. However, guidance must be clear and precise. By reminding readers of the examples in Section 255.5 that all of the other principles in the Guides apply, the FTC injects confusion. ANA suggests that the FTC keep the examples lean and targeted without trying to spot every possible issue.

Finally, ANA is particularly concerned that Example 6 introduces a rule concerning “star ratings” that goes well beyond the guidance that should be offered in this context. The FTC communicates in its proposed Example 6 that incentivized reviews should always be excluded from star ratings. This unqualified statement belies the complexity of the review ecosystem and renders the guidance ambiguous, didactic, and lacking in practical application.

A. Section 255.5 Example 3 (Tennis player)

The FTC’s revisions to the tennis player example can be improved by (1) clarifying that context matters in determining whether an audience would reasonably expect a material connection; and (2) clearly articulating at what point a discounted service becomes material.

1. Clarify How the Staff Analyzes the Facts

The analysis of whether a material connection needs to be disclosed should start with an analysis of whether a connection would be reasonably expected by the audience in the context of where and how the endorsement is made. ANA recommends that the FTC expand this example to more clearly articulate why the use of the tennis player’s endorsement on the clinic’s social media page would not reasonably be expected by the audience.

The FTC further proposes to expand the example by adding a new hypothetical whereby the laser clinic uses the tennis player’s endorsement in its own social media posts. The FTC indicates that the clinic should clearly and conspicuously disclose its relationship to the athlete in its posts, yet the FTC fails to articulate what it is about the tennis player’s endorsement on the clinic’s social media page that would not be reasonably expected by the audience. The FTC should clarify this example. In many instances, an advertiser’s use of a celebrity endorser on its own social media should not need a disclosure because one would expect that a celebrity would be paid to provide the advertiser an endorsement. The FTC should

expand the example to distinguish this example between a typical celebrity advertisement on an advertiser's social media page.

Although disclosures may be important, the crux of the issue relates to the tennis player's post and the tennis player's failure to disclose. The example needs first to clarify that the clinic is reposting or sharing the tennis player's social media endorsement from the prior paragraph to the clinic's social media and then explain that the advertiser needs to disclose the relationship because (i) the tennis player did not clearly and conspicuously disclose it in the first place, which thereby makes it seem like an independent review of the clinic; (ii) consumers visiting the clinic's social media would not already associate the tennis player with the clinic; and (iii) given the nature of the endorsement (*i.e.*, a personally -created statement from the tennis player versus a television commercial with an endorsement) in the context of the clinic's social media the viewing audience would likely not reasonably expect the tennis player is being compensated.

The FTC should also consider adding an example which differentiates between someone who is the face of a brand versus an ambassador who is less known.

2. Discounts as Material Connections

The FTC further adds to this example that the material connection between the tennis player and the clinic should be disclosed even if the tennis player were not paid, but instead received the surgery for free or at a reduced cost. Unless the FTC clarifies how much of a discount would be material, then the additional reference to "or at a reduced cost" in this example fails to provide advertisers with the necessary clarity. The FTC already states in the introduction to Section 255.5 that discounted product or services could be a material connection. What marketers need is a clearer understanding of when a discount becomes material. The FTC should explain whether receipt of discounted products or services is always material or whether there is a threshold level of discount that makes it material.

* * *

As a minor point, the FTC should revise the first sentence of the second paragraph of the example to read, "Assume that the tennis player instead touts the results of the surgery" rather than "Assume that the tennis player also touts the results of the surgery." The use of "also" rather than "instead" might indicate the FTC intends that the hypothetical facts only in the aggregate produce the stated outcome.

B. Section 255.5 Example 4 (Physician)

This example includes a physician who endorses an anti-snoring product and is featured in a television commercial. No disclosure is required because consumers would expect the doctor to be compensated. The word "also" in the expanded example sentence ("assume that the physician is also paid to post...") adds ambiguity and should be replaced with the word "instead" to make it more clear that it is irrelevant in this portion of the example that the physician might also receive compensation in other ways.

C. Section 255.5 Example 5 (Meat-Alternative Burger Advertisement)

The FTC places unnecessary importance on whether a review is “good” rather than whether there is a material connection. The new addition to this example states that an advertisement should clearly and conspicuously inform viewers that the patrons on screen knew in advance that they might appear in a television advertisement if they gave the burger a *good* review; the FTC should remove the language regarding appearance in a television advertisement *if they gave the burger a good review*. Disclosure should be necessary because the promise of a television appearance is a connection which might materially affect the weight or credibility of the endorsement and which the viewing audience might not reasonably expect. It is irrelevant whether the review must subjectively be “good.”

D. Section 255.5 Example 6 (Infomercial producer)

The FTC expands this example to include that the marketer incentivizes consumers to post reviews on its website by giving them the product for free and paying consumers \$30 for posting a review. Although the marketer tells the consumers that each of them is free to post negative reviews and there are no consequences for doing so, there still must be disclosure that the reviews are incentivized or the reviews are likely deceptive.

Although this updated example is largely appropriate and relevant, the FTC states, almost in passing, that even if adequate disclosures appear in each incentivized review, the practice could still be deceptive if the solicited reviews are included in an average star rating for the product. This statement is very significant and raises practical as well as legal concerns.

Such a significant change to the Guides requires a detailed explanation of the FTC’s reasoning. The FTC should explain whether incentivized reviews should always be excluded from star ratings or whether a disclosure indicating that the average star rating includes incentivized reviews that could materially increase the average star rating would cure the alleged deception.

ANA also is concerned that the breadth of the FTC’s statement about star ratings could have significant practical implications. Consumer reviews help competition, and small businesses often need to incentivize reviews (positive or negative) in order to gain credibility and higher rankings on certain sites. Prohibiting the inclusion of incentivized reviews (which are done fairly and have clear and conspicuous disclosures) in aggregate star ratings could hurt competition. Additionally, the FTC’s statement does not address whether it really matters whether the review is positive or not. The FTC should not care about whether the review subjectively is “good” or “bad,” but rather only that the input was unexpectedly incentivized and that substantial consumer injury was likely due to the inclusion of incentivized reviews in the star ratings. Finally, as a practical matter, it may be infeasible for many advertisers to discern and calculate the average star rating not taking into account incentivized reviews. The FTC should seek more empirical information on the practical effect of this position.

E. Section 255.5 Example 7 (Woodworker, formerly video gamer)

The FTC should rework this example to help marketers understand why the receipt of the free lathe might materially affect the weight and credibility of the endorsement in this context, and also what constitutes a

“significant” portion of an audience. The FTC proposes to replace the former Example 7 of a video gamer with a woodworker influencer who posts on-demand videos of various projects and receives an expensive lathe for free from a tool manufacturer. The woodworker commented favorably on the lathe in several videos.

The proposed example states that, if a significant proportion of the viewers are likely to be unaware that the influencer received the lathe free of charge, then the woodworker should clearly and conspicuously disclose receiving it for free. The FTC should articulate why the receipt of the free lathe is material in this context, given that viewers may be watching the videos not to seek out the woodworker’s opinion on tools, but to see the results of the work. (This is one of the problems with switching from the video gamer scenario in which it was readily understood that people watched the video gamer’s videos for his opinions.)

In addition, the FTC misses an opportunity in this example to provide guidance on how long the woodworker might need to continue to make a disclosure that the woodworker received the lathe for free. For instance, if the woodworker was still using the lathe a year later, would he still need to make a disclosure anytime he made an endorsement about the lathe?

F. Section 255.5 Example 8 (Community message board)

The FTC proposes to revise this example about an online message board for music to one about robotics. The FTC indicates that, if an employee posts statements promoting his employer’s products, consumers who read the posts are likely to deem the knowledge of his employment material because it likely would affect the weight or credibility consumers give to the posts. Thus, disclosure of this material connection would be required. The FTC should clarify the last sentence to state, “The disclosure requirements in this example would apply equally to employees posting their own reviews of the product on retail websites or review platforms” to demonstrate that the disclosure requirement does not change depending on the platform.

G. Section 255.5 Example 10 (No Chlorine Products Association)

ANA suggests that the FTC either explain why it mentions that the association is a “non-profit” or remove that extraneous detail.

H. Section 255.5 Example 11 (Coffee lover)

The FTC misses an opportunity to address whether a certain amount of monetary compensation may be *de minimis*. The FTC proposes adding an example of a coffee lover who reviews coffee makers independently and includes affiliate links to buy the product. The FTC indicates that because knowledge of the payment for the links could affect the weight or credibility site visitors give to the reviews, the reviews should clearly and conspicuously disclose the compensation. The FTC should not state that the blogger receives a “small” portion of the sale unless it clarifies whether it is trying to communicate something about the nature or quantity of the compensation for purposes of finding “materiality.”

I. Section 255.5 Example 12 (Podcaster)

The FTC proposes an example illustrating that consumers may reasonably expect that a podcaster who reads a commercial for a product at the beginning of the podcast is receiving compensation. Accordingly, in that context no disclosure of a connection is required. The example could be better without the FTC's caution that, if the content of the commercial implies that the host is expressing his own views, then the host would need to hold the views expressed. This additional statement may be true pursuant to general principles regarding endorsements under Section 255.1, but is misplaced in an example about disclosure of "material connections."

The FTC also notes that, if the podcaster subsequently also posts on his social media page about the product, the fact that no disclosure has to be made in the podcast has no bearing on whether a disclosure is needed in social. The FTC should be clearer about how that context makes a difference. The FTC should be explicit that these examples have to do with what is expected or not expected by consumers and should explain how the outcome can depend on the medium of the endorsement and the nature of the connection. It is always a fact-specific analysis, and the FTC should better specify the analytical approach required so that advertisers and marketers can apply that approach to any number of scenarios.

VIII. SECTION 255.6 – ENDORSEMENTS DIRECTED TO CHILDREN

The Guides do not need a section which directly addresses children. The FTC has proposed an additional section to the Guides to address children-targeted advertising, noting that "Endorsements in advertisements addressed to children may be of special concern because of the character of the audience. Practices which would not ordinarily be questioned in advertisements addressed to adults might be questioned in such cases." This statement implies that an advertiser properly applying and following the Guides is irrelevant when children are targeted. This should not be the case.

Rather than jettisoning the established principles set forth in the Guides in the context of children, the FTC should recognize that the Guides actually take children and any other vulnerable populations into account without the need for an explicit reference. The FTC discusses in Section 255.0 how disclosures must take into account reasonable members of the target audience. This would include children. Thus, this entire new section is redundant. Moreover, the FTC should not address specific issues pertaining to defined classes of consumers such as "children" without defining the term "children." The FTC is unnecessarily suggesting that the Guides may not be sufficient when endorsements are directed to certain classes of consumers. Such a suggestion throws the utility of the Guides into doubt and could require detailed analysis of where the Guides would and would not be applicable.

Even if the FTC wanted specifically to call out the need for greater attention when endorsements are directed to children, and even if the FTC were able to define what it means by "children", it is clear that the FTC is not ready to provide guidance here.

In fact, the FTC acknowledged that it would benefit from more evidence to develop specific guidance in this area. Following additional input at the upcoming virtual workshop, when appropriate the FTC can provide additional guidance to marketers through other avenues, such as a report and other business guidance. This section does not add any incremental benefit within the context of the Guides. ANA

suggests that it be omitted. In its place, the FTC might choose to add a footnote in Section 255.0 stating that children may react differently than adults to endorsements in advertising or to related disclosures.

Respectfully submitted,

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